

goods which he would have dared to take at the beginning of the cycle of improving trade. This multiplied by millions makes the demand which at times seems inexhaustible, which supplies the railroads with tonnage, and which in its ramifications creates the investment fund which finally seeks employment in Wall Street.

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*There is always a disposition in people's minds to think that existing conditions will be permanent.*

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The declining period is accompanied by steady reversal of these varied transactions. When the retailer and the jobber find that goods cost less than before, they shrink purchases. When purchases in advance of requirements bring loss and not profit, they bring also loss of confidence and curtailment of demand. As the process of shrinkage goes on, it touches all points of trade. It is a kind of flame which creates the fuel which is burned.

Experience has shown that it takes about five years for one of these cycles to complete itself. It takes approximately five years for the country bare of stocks to become the country filled with stocks, and it takes about five years more for the overstocked markets of the country or of the world to become practically bare.

As the stock market is always an effect and never a cause, it must respond to these conditions. As, however, the stock market, while an effect, is also a discounted effect, the decline in prices of stocks usually anticipates decline in commodities, because operators for a fall sell in anticipation of the changes which they foresee in business conditions.

The cause of the next depression in stocks will be a falling off in general trade. It will be distinguished by reduced clearings, decreased railroad earnings, a smaller